

IRELAND 2013

Table of Contents

1. Overview of the tax-benefit system	1
2. Unemployment Benefit (Jobseeker's benefit)	2
3. Unemployment Assistance (Jobseeker's Allowance).....	5
4. Social assistance	7
5. Housing benefits	9
6. Family benefits	14
7. Childcare for pre-school children	16
8. Employment-conditional benefits.....	18
9. Lone Parent Benefits.....	20
10. Tax system	23
11. Part-time work.....	26
12. Policy developments	27

1. Overview of the tax-benefit system

Unemployment Benefit (Jobseeker's benefit) is a weekly payment for persons who have made social security contributions and are out of work. Payment is made at flat rates with reduced amounts for persons who had low earnings while in work.

Unemployment Assistance (Jobseeker's Assistance) is paid to those unemployed who have exhausted their entitlement to Jobseeker's Benefit or who do not qualify for that payment. Unemployment Assistance is means tested. Payment is made at flat rates reduced by the amount of any means.

Additions are made to Unemployment Benefit and Unemployment Assistance for any adult or child dependants while family benefits are universal.

1.1. Average worker wage (AW)

The 2013 average wage (AW) was EUR 32 381¹.

¹ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see *Taxing Wages 2009-2010*, OECD, 2011, part IV.

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

2. Unemployment Benefit (Jobseeker's benefit)

2.1 *Conditions for receipt*

- To be aged 16 or over, and under 66.
- Be unemployed.
- Be under pension age.
- Be capable of work.
- Be available for full time work.
- Be genuinely seeking work.
- Prove unemployment in the prescribed manner.
- To have suffered a substantial loss of employment and a resulting loss of earnings.
- To be fully unemployed for at least 3 days in any period of 6 consecutive days.

2.1.1 *Employment conditions*

To be fully unemployed for at least 3 days in any period of 6 consecutive days. Sunday is not counted for this calculation.

2.1.2 *Contribution conditions*

To have 104 contributions paid since starting work and to have 39 paid social insurance contributions in the last Governing Contribution Year, or have at least **26 reckonable contributions** paid in both the Governing Contribution Year and the year immediately preceding the Governing Contribution Year.

2.2 *Calculation of benefit amount*

Flat rate payments are made for each week/day of unemployment. Increases are paid for dependent children and dependent adults.

2.2.1 *Calculation of gross benefit*

Weekly rates (in EUR)

Personal rate	188.00
Qualified Adult increase	124.80
Each qualified child	
Full rate	29.80
Half rate	14.90

Where weekly earnings while in employment were below certain amounts reduced rates of payment are made.

Jobseekers Benefit rates are graduated according to earnings in the relevant tax year.

Average weekly earnings (in EUR)	Personal rate (in EUR)	Qualified adult increase (in EUR)
Less than 150.00	84.50	80.90
150.00 and less than 220.00	121.40	80.90
220.00 and less than 300.00	147.30	80.90
300.00 or more	188.00	124.80

If the person was in receipt of Jobseeker's Allowance prior to 26 September 2007, he may get a reduced rate qualified adult increase if his or her spouse or partner has earnings or income in excess of €100.00 and up to €310.00 gross per week.

Any increases due for dependent children are not earnings related

2.2.2 *Income and earnings disregards*

Where a person in receipt of Unemployment Benefit is employed for a day or part of a day no payment is made for that day. Earnings from employment are not assessed.

One can get an increase of €29.80 for each qualified child if one qualifies for an increase for a qualified adult or if one is parenting alone. If the person does not qualify for an increase for a qualified adult, he may get a half-rate qualified child increase, if the spouse or partner has an income of €300 or less a week.

If the person was in receipt of Jobseeker's Allowance prior to 26 September 2007, he may get a reduced rate qualified adult increase if his or her spouse or partner has earnings or income in excess of €100.00 and up to €310.00 gross per week.

2.3 *Tax treatment of benefit and interaction with other benefits*

The first EUR 13 per week of Unemployment Benefit payment and the dependent child element are disregarded for tax purposes.

2.4 *Benefit duration*

Jobseeker's Benefit may be paid for up to 234 or 312 days of unemployment. However, the duration of benefit varies according to the class of qualifying contribution and the number of total contributions paid since a person started working.

- If a customer has 260 contributions paid he/she may be paid a total of 12 months (312 days). From 15th October 2008 all new claims and claims with less than 6 months (156 days) are paid a maximum of 312 days. If a customer had 6 months or more (156 days) paid on 15th October 2008, he/she may be paid 15 months (390 days).
- If a customer has less than 260 contributions paid he/she may be paid for a total of 9 months (234 days). From 15th October 2008 all new claims and claims with less than 3 months (78 days) are paid a maximum of 234 days. If a customer had 3 months or more (78 days) paid on 15th October 2008, he/she may be paid 12 months (312).

2.5 *Treatment of particular groups*

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

2.5.1 *Young persons*

A person under 18 years of age is entitled to 156 days of Unemployment Benefit (26 weeks only), after which entitlement is expired. If however, he/she reaches age 18 on or before expiry of 156 days, he/she is entitled to Unemployment Benefit for up to 312 days (from the original date of claim).

2.5.2 *Older workers*

Persons aged between 65 and 66 years where their entitlement to benefit exhausts are entitled to receive JB payment beyond 312 days (12 months) or 234 days (9 months) weeks) whichever is applicable up to the date on which they reach pensionable age (66 years) provided they have not less than 156 paid contributions since entering employment and they satisfy the second contribution condition.

A person may receive JB up to the day before his/her 66th birthday. Persons approaching pension age should be advised to apply for State Pension (Contributory/Non-Contributory), 3 months in advance of the relevant age limit.

2.5.3 *Others if applicable*

The half-rate payments ceased for new applicants for Jobseeker Benefit customers from Thursday, 2nd February 2012.

There are 2 exceptions:

1. Where half-rate JB was being paid immediately prior to the 2nd February, this should continue to be paid.
2. Where a claim for JB is made on or after the 2nd February 2012, half-rate JB may be paid if it links to a half-rate JB claim made prior to the 2nd February 2012.

From February 2012, if a person becomes eligible for Illness Benefit from 1st February, Jobseekers Benefit from 2nd February or Incapacity Supplement from 3rd February, s/he can only receive the equivalent rate of one Social Welfare payment. S/he will not qualify for Widow's, Widower's or Surviving Civil Partner's Contributory Pension (WSCPCP) and half rate payment from the other scheme.

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

3. Unemployment Assistance (Jobseeker's Allowance)

Unemployment assistance is paid to unemployed people who do not qualify for unemployment benefit or who have exhausted their entitlement to that benefit. It is income and asset-tested.

3.1 Conditions for receipt

- Must satisfy the Habitual Residency Condition
- Be aged 18 or over, and under the pension age of 66.
- Be fully unemployed for at least 3 days in any period of 6 consecutive days.
- Be capable of work.
- Be available for full time work.
- Be genuinely seeking work.
- Satisfy the conditions as to means.
- Prove unemployment in the prescribed manner.

3.2 Calculation of benefit amount

3.2.1 Calculation of gross benefit

The payment is made up of a personal rate and extra amounts for the dependants and is made for each day unemployed

Weekly rates

Personal rate	EUR
Maximum rate	188.00
Adult dependant	124.80
Each qualified child	
Full rate	29.80

Maximum personal rate where claimant is aged under 18 - 21 years	100.00
Increase for Qualified Adult	100.00

Maximum personal rate where claimant is aged under 22 - 24 years	144.00
Increase for Qualified Adult	124.80

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

3.2.2 *Maximum rate of Jobseeker's Allowance that applies to claimants aged 18 – 24 years (inclusive)*

A €100 rate of Jobseeker's Allowance was introduced for claimants aged under 20 in April 2009 and this rate was applied to claimants aged up to 21 from December 2009. The €100 rate does not apply to certain categories of claimant including people who were in the care of the State during the 12 months before he or she reached the age of 18. A rate of €144 applies to claimants aged 22-24.

3.2.2 *Income and earnings disregards*

- a. If the recipient is working part-time or casually (up to 3 days per week) payments of Jobseeker's Assistance for the full week less 60 per cent of average net weekly earnings will be made. If the recipient has no child dependants, €20 per day (max €60 per week) worked is first deducted from the average net weekly earnings and then 60 per cent of the balance is assessed as the weekly means.)
- b. If the person was in receipt of Jobseeker's Allowance prior to 26 September 2007, he may get a reduced rate qualified adult increase if his or her spouse or partner has earnings or income in excess of €100.00 and up to €310.00 gross per week.
- c. Jobseeker's Assistance (Unemployment Assistance) is a means tested payment. Means include any income, pension, savings or property (except for own residence) which claimant or spouse might have. A reduced payment is made when the claimant has means.

3.3 *Tax treatment of benefit and interaction with other benefits*

Not Taxable

3.4 *Benefit duration*

Unlimited. It is paid from the first day for those who had an unemployment benefit claim, and after a three-day waiting period for those who cannot qualify for unemployment benefit.

3.5 *Treatment of particular groups*

3.5.1 *Young persons*

See section 3.2.2

3.5.2 *Older workers*

None

3.5.3 *Others if applicable*

None

4. Social assistance

Basic Supplementary Welfare Allowance (SWA) provides financial support to those whose means are insufficient to meet their needs and those of their dependants.

SWA can consist of a basic weekly payment and/or a supplement in respect of certain expenses a person may not be able to meet. The supplements include Rent and Mortgage Interest Supplements.

There are two categories of claimants for basic SWA:-

- People who fail to meet the conditions for entitlement to a weekly social welfare or qualifying HSE payment.
- People who have applied for a social welfare payment and are getting a Basic SWA payment pending a decision on their claim.

4.1 Conditions for receipt

Subject to the legislation governing the scheme, every habitually resident person in the State whose means are insufficient to meet his/her needs and the needs of his/her qualified adult or child(ren) shall be entitled to Supplementary Welfare Allowance.

A number of categories are specifically excluded from receiving assistance. These are people in full-time work, people in full-time education and people involved in trade disputes. The qualified spouse and qualified child(ren) of a person involved in trade dispute are not excluded from SWA for the period of the strike.

A person will not be regarded as being in full-time work where he/she is employed for less than 30 hours a week.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

The payment is made up of a personal rate and extra amounts for the dependants

Weekly Rates (as of 1st July 2011)

Family situation	Rates (in EUR)
Maximum personal rate	186.00
Increase Qualified Adult	124.80
Each Qualified Child	29.80

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Supplementary Welfare Allowance rates for claimants under 25 from January 2011

Supplementary Welfare Allowance maximum rate for people under 25 years of age			
Age	Personal rate	Increase for a Qualified Adult	Applies to
18 - 19	€100	€100	New and existing claimants
20 - 21	€100	€100	New claimants
22 - 24	€144	€124.80	New claimants

The reduced personal and qualified adult rate of Supplementary Welfare Allowance for claimants under 25 years of age do not apply in the following cases:

- People with dependent children
- People aged 18 or 19 on 30 December 2009 and getting SWA since 29 April 2009
- People at least 20 years of age on 30 December 2009 who are getting SWA since 30 December 2009
- Certain children in the care of the HSE during the 12 months before reaching 18 years of age will also be assessed using the JA rate for people aged 25 or over.

4.2.2 *Income and earnings disregards*

There is a one-to-one income test using on Total net family income (including unemployment insurance, assistance, Back to Work Scheme, Part-time Job Incentive Scheme, lone parent benefits and Family Income Supplement). Family benefits are excluded.

4.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

4.4 *Benefit duration*

As long as the conditions are fulfilled.

4.5 *Treatment of particular group*

4.5.1 *Young persons*

None

4.5.2 *Older workers*

None

4.5.3 *Others if applicable*

None

5. Housing benefits

Rent and Mortgage Interest Supplements ensure that the recipient's income after paying rent/mortgage interest is not less than the Supplementary Welfare Allowance rate less a weekly minimum contribution. The weekly contribution for single persons and lone parents is €30 per week, for couples and families with two adults the minimum contribution is €35 per week.

5.1 Conditions for receipt

Rent Supplement:

Rent Supplement, which is payable under the Supplementary Welfare Allowance scheme, is paid to people living in private rented accommodation who cannot provide for the cost of their accommodation from their own resources.

At the time of application for a rent supplement, the claimant must:

- have been residing in private rented accommodation (where at the commencement of the tenancy the person could have reasonably afforded the rent and has experienced a substantial change in his or her circumstances where they are now unable to pay the rent) or accommodation for homeless persons or in an institution (or any combination of these) for a period of 183 days within the preceding 12 months of the date of claim for Rent Supplement,

or

- have had an assessment of housing need carried out within the 12 months preceding the date of claim and have been deemed by the relevant local authority to be eligible for and in need of social housing support.

In all other cases, a person who wishes to apply for rent supplement will be referred, in the first instance, for an assessment of eligibility for social housing support by the local housing authority in the area where claim to rent supplement is made (and the person intends to reside). Only when the person has been assessed as being eligible for and in need of social housing support, does the person become eligible for consideration for rent supplement.

Rent Supplement is not payable in respect of a tenancy where the landlord has not provided the Department with a Tax Reference Number or has not advised the Department why s/he does not a Tax Reference Number (usually due to residence status).

To qualify for rent supplement a person:

- must be in receipt of Social Welfare or Health Service Executive payment and satisfy the general conditions of entitlement to SWA but there are exceptions to this rule as outlined below in Section 4;
- must be a bona fide tenant;
- must satisfy the Health Service Executive that he/she has a housing need which he/she cannot meet from his or her own resources;

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

- must apply to the local housing authority for an assessment of housing needs, if requested to do so by the Health Service Executive
- must be Habitually Resident in the State.
- In addition, the Health Service Executive must be satisfied that:
 - The accommodation is suited to the person's needs;
 - The amount of rent being paid is within limits set

Rent Supplements are subject to a limit on the amount of rent that an applicant for Rent Supplement may incur. Rent Supplement is not normally paid where the rent payable to the landlord is in excess of the limits set out below. The HSE also has the authority to set levels below that provided for in regulations. The prescribed rent limits from 1st June 2010 are set out below:

The maximum rent limits were set to ensure eligible recipients can access the rental market, whilst at the same time ensuring that value is achieved for the Exchequer. The limits established provide access to approximately 40% of the supply of total supply of the rental market. The current limits, effective from January 1st, are set out in the table below:

Maximum Rent Limits from January 2012

County	Single person in shared accommodation	Couple in shared accommodation	Single person	Couple with no children	Couple with 1 child or one-parent with 1 child	Couple with 2 children or one-parent with 2 children	Couple with 3 children or one-parent with 3 children
Carlow	€230	€250	€350	€450	€550	€575	€590
Cavan	€160	€190	€325	€350	€400	€430	€450
Clare	€190	€210	€350	€380	€450	€475	€500
Cork	€260	€280	€450	€575	€700	€715	€750
Donegal	€195	€200	€315	€350	€390	€450	€500
Dublin - Fingal	€250	€330	€475	€650	€775	€825	€900
Dublin - other local authorities	€300	€370	€475	€700	€875	€925	€950
Galway	€230	€250	€450	€540	€680	€700	€725
Kerry	€190	€220	€365	€390	€520	€550	€600
Kildare	€270	€290	€400	€500	€690	€725	€790
Kilkenny	€200	€230	€390	€430	€540	€575	€590
Leitrim	€175	€195	€300	€325	€350	€375	€400
Limerick	€220	€240	€390	€430	€500	€575	€650
Laois	€200	€230	€390	€400	€480	€505	€540
Longford	€160	€175	€300	€325	€340	€390	€430
Louth	€230	€280	€390	€430	€575	€600	€650
Mayo	€195	€215	€390	€400	€450	€475	€500
Meath	€200	€260	€390	€450	€550	€610	€675
Monaghan	€180	€190	€300	€350	€480	€500	€525
Offaly	€200	€220	€345	€400	€500	€540	€575
Roscommon	€175	€195	€300	€325	€400	€430	€480

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

County	Single person in shared accommodation	Couple in shared accommodation	Single person	Couple with no children	Couple with 1 child or one-parent with 1 child	Couple with 2 children or one-parent with 2 children	Couple with 3 children or one-parent with 3 children
Sligo	€195	€220	€340	€425	€520	€540	€550
Tipperary North	€195	€200	€345	€375	€410	€500	€525
Tipperary South	€195	€220	€370	€425	€525	€540	€550
Waterford	€230	€250	€390	€400	€500	€540	€590
Westmeath	€190	€210	€390	€420	€500	€520	€530
Wexford	€230	€250	€390	€430	€540	€565	€590
Wicklow	€240	€290	€440	€525	€625	€670	€740

Rent Supplement may be payable where the customer or spouse is engaged in full-time employment – subject to certain conditions. Where an existing Rent Supplement tenant has been accepted by the local housing authority as being eligible for accommodation under the Rental Accommodation Scheme, a person may engage in full time employment and still be considered for Rent Supplement, subject to their satisfying all of the other conditions of the scheme.

The Rental Accommodation Scheme is administered by local housing authorities under the aegis of the Department of the Environment, Housing and Local Government. Its purpose is to provide accommodation from the private rented market or through other social housing measures to persons with a long term housing need.

Mortgage Interest Supplement

Mortgage Interest Supplement provides short term support to eligible people who are unable to meet mortgage **interest** repayments in respect of a house which is their sole place of residence.

- A person may be entitled to a supplement towards the amount of mortgage interest payable in respect of his or her residence provided that:
 - The loan agreement was entered into at a time when, in the opinion of the Department official dealing with the case, that the person was in a position to originally meet the repayments whilst in full-time employment.
 - He or she is habitually resident in the State
 - The Department official dealing with the case must also be satisfied that: The amount of the mortgage interest payable by the claimant does not exceed such amount as the Health Service Executive considers reasonable to meet his or her residential and other needs.
 - It is reasonable to award a supplement having regard to the amount of any arrears outstanding on the loan.
- In exceptional circumstances, the Health Service Executive may award a supplement where the amount of mortgage interest payable by a person exceeds such amount as the Health Service Executive considers reasonable to meet his or her residential and other needs. Such supplement is payable for a maximum of 12 months from the date of the claim.
- From 18 June 2012, applicants who apply for mortgage interest supplement must have secured an alternative payment arrangement with their mortgage provider for one year prior to application date

before being considered eligible for mortgage interest supplement. This measure aligned mortgage interest supplement with the other forbearance arrangements established under the Current Code of Mortgage Arrears, namely the Mortgage Arrears Resolution Process.

- From December 2012, the condition that the house should not for sale was removed.

5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit

Under standard SWA rules rent or mortgage interest supplements are normally calculated to ensure that a person, after the payment of rent or mortgage interest, has an income equal to the rate of SWA appropriate to their family circumstances less a weekly minimum contribution payable from their own resources. The weekly minimum contribution is €30 for a single adult household and €35 for couples. Many recipients pay more than this amount because recipients are also required, subject to income disregards, to contribute any additional assessable means that they have over and above the appropriate basic SWA rate towards their accommodation costs.

5.2.2 Income and earnings disregards

Part-time earnings income disregard

Part-time earnings income disregard

- The means-test for rent and mortgage interest supplement provides for a gradual withdrawal of payment as hours of employment or earnings increase. The disregard structure is in place to ensure that those benefiting from rent or mortgage interest supplement can avail of employment opportunities and re-enter the jobs market. However, generally, once a person has found full-time employment that is employment of greater than 30 hours their entitlement would be discontinued.
- A person on rent supplement, who is accepted as eligible for accommodation under the rental accommodation scheme (RAS), may return to full-time work, subject to a means test, and may continue to receive a rent supplement payment.
- Those availing of part-time employment and/or training opportunities can continue to receive a rent or mortgage interest supplement subject to their satisfying the standard means assessment rules.
- Since June 2007, where a person has additional income in excess of the standard weekly rate of supplementary welfare allowance, the first €75 of such additional income together with 25% of any additional income above €75 is disregarded for means assessment purposes. This ensures that those returning to work or participating in training schemes are better off as a result of taking up such an opportunity.

Mortgage Interest Supplement and full-time employment

Where a person, who has been unemployed for 12 months or more, and secures open market employment they may retain Mortgage Interest Supplement on the same tapered basis that applies to those participating in employment schemes, (75% in year 1, 50% in year 2, 25% in years 3 and 4), provided that:

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

- He or she has been unemployed (but not certified unfit for work) for at least 12 months immediately prior to taking up employment;
- The new job is full time i.e. at least 30 hours per week;
- Gross household income does not exceed €317.43 per week (Family Income Supplement, PRSI + reasonable travel expenses, if applicable, are disregarded).

This tapered payment option only refers to retention of Mortgage Interest Supplement.

5.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable

5.4 *Treatment of particular groups*

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

6. Family benefits

Known as Child Benefit.

6.1 Conditions for receipt

Each dependent child under the age of 16, or under 18, if in full-time education qualifies

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

	Rate per month from January 2013 (in EUR)
1 st and 2 nd child	130.00
3 rd child	130.00
4 th and subsequent children	140.00

Multiple births Special Grants Rate of Payment: Birth – 635.00 EUR, at age 4 – 635.00 EUR, at age 12 – 635.00 EUR.

Twins: Child Benefit is paid at 150% the normal monthly rate for each child. All other multiple births: 200% the normal monthly rate of Child Benefit is paid.

6.2.2 Income and earnings disregards

Not means-tested.

6.3 Tax treatment of benefit and interaction with other benefits

Not taxable

6.4 Treatment of particular groups

6.4.1 Young persons

None

6.4.2 Older workers

None

6.4.3 Others if applicable

Maternity Benefit: Max rate per week: 262.00 EUR, Min rate per week: 217.80 EUR.

Maternity Benefit is paid for 26 weeks. At least 2 weeks and not more than 16 weeks leave must be taken before the end of the week in which the baby is due.

Conditions for receipt:

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

If employed: At least 39 weeks PRSI paid in the 12-month period before. **Or** At least 39 weeks PRSI paid since first starting work **and** at least 39 weeks PRSI paid or credited in the relevant tax year or in the tax year immediately following the relevant tax year. **Or** At least 26 weeks PRSI paid in the relevant tax year **and** at least 26 weeks PRSI paid in the tax year immediately before the relevant tax year.

If self-employed: 52 weeks PRSI contributions paid at Class S in the relevant tax year. **Or** 52 weeks PRSI contributions paid at Class S in the tax year immediately before the relevant tax year. **Or** 52 weeks PRSI contributions paid at Class S in the tax year immediately following the relevant tax year. For example, if you are going on maternity leave in 2009, the tax year immediately following the relevant tax year is 2008.

If already getting a social welfare payment: Half-rate Maternity Benefit is payable if getting any one of the following payments:

- One-Parent Family Payment
- Widow's (Contributory) Pension
- Widow's (Non-Contributory) Pension
- Deserted Wife's Benefit
- Prisoner's Wife's Allowance
- Guardian's Payment (Contributory)
- Guardian's Payment (Non-Contributory)
- Death Benefit by way of Widow's/Widower's or Dependent Parents' Pension (under the Occupational Injuries Scheme)

Disqualification from Maternity Benefit

Payment will be stopped if you engage in insurable (paid) employment.

Adoptive Benefit: Max rate per week: 262.00 EUR, Min rate per week: 217.80 EUR.

Payment to an adopting mother or a single male who adopts a child, paid for a continuous period of 24 weeks from the date of placement of the child

Conditions for receipt:

If employed: to qualify for Adoptive Benefit one must be in employment which is covered by the Adoptive Leave Act 1995 immediately before the first day of the adoptive leave and have at least:

- 39 weeks PRSI paid in the 12-month period before. **Or:** 39 weeks PRSI paid since first starting work **and** at least 39 weeks PRSI paid or credited in the relevant tax year or in the year immediately following the relevant tax year. **Or:** 26 weeks PRSI paid in the relevant tax year and at least 26 weeks PRSI paid in the tax year before the relevant tax year.

If self-employed:

- 52 PRSI contributions paid at Class S in the relevant tax year. **Or:** 52 PRSI contributions paid at Class S in the tax year immediately before the relevant tax year. **Or:** 52 qualifying PRSI contributions paid at Class S in the tax year immediately following relevant tax year.

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

7. Childcare for pre-school children

Information is not available on the fraction of pre-school children in childcare. Children can enter school on their fourth birthday but must have started school by their sixth birthday.

7.1 Out-of-pocket childcare fees paid by parents

Full-time childcare

All centre based childcare providers and larger scale home based child minders are obliged to register with the Health Service Executive, and provide information on the number of places and the type of childcare involved (i.e. full day, sessional etc). However, a significant aspect in Irish childcare is that parents often choose that it be provided by home-based childminders, many of whom if they are low scale operations, do not have to register with the HSE, and operate in the informal economy. Therefore, these figures of registered and notified childcare places would under-state the true figure.

There is no official figure for the average fees paid by parents for childcare. The CSO survey² which provided such data is now some 3 years out of date, and anecdotal evidence would suggest that this makes it no longer reliable.

Rates are not regulated by Government, and may depend on a number of factors such as;

- The age of the child
- Location
- Type of provider (e.g. community or private sector)
- Type of service
- Quality of service (i.e. if there are extras included)
- Parents income (e.g. community providers may charge less to social security recipients)

Average of costs of paid childcare are available in *Quarterly National Household Survey, Childcare, Quarter 4, 2007*

(http://www.cso.ie/releasespublications/documents/labour_market/current/qnhschildcare.pdf)

There is no legislation covering the rates to be charged for child care. Fees paid for childcare are not tax deductible, and are not taken into account when determining entitlement to benefits such as social assistance.

Part-time childcare

7.2 Child-care benefits for formal centre-based care

There are no such cash benefits. Government policy is to support all child related costs incurred by parents, including childcare costs, through Child Benefit. See section 6.

For parents who stay at home to care for children, the Home Carers Allowance may provide a tax credit of up to EUR 900. See section 10 for details.

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

7.2.1 *Conditions for receipt*

7.2.2 *Calculation of benefit amount*

7.2.2.1 Calculation of gross benefit

Please see following indicative childcare costs (2012) for the various levels of service provision in centre based care.

These figures are based on the results of a survey conducted annually by Pobal with all service providers funded under any of the 3 childcare programmes administered by the Department of Children and Youth Affairs.

	Community-Based	Private Provider	All	% Increase on 2011
Full time babies	€161.33	€179.94	€174.13	0.6%
Full time aged 1+	€158.06	€172.27	€167.27	1.0%
Part time place	€81.71	€105.49	€95.78	13.2%
Sessional care (1 session)	€58.66	€69.40	€66.18	12.6%
Breakfast club	€29.95	€32.69	€31.76	19.1%
After school	€57.53	€80.31	€71.47	13.9%

For the Tax Benefit Model, The full time aged 1+ figure is used (167.27 EUR per week).

A 10% reduction is applied to any siblings after the first child.

7.2.2.2 Income and earnings disregards

7.2.3 *Tax treatment of benefit and interaction with other benefits*

7.2.4 *Treatment of particular groups*

7.3 Child care allowance for children not using child care centers

8. Employment-conditional benefits

Employment-conditional benefits exist:

- a) Family Income Supplement (FIS).

8.1 Conditions for receipt

The applicant(s) must be in paid employment as employees for a minimum of 38 hours every fortnight and must have at least one qualified child. A couple may combine their hours to meet the qualification criteria.

Income from employment is assessed as net assessable earnings i.e. gross taxable earnings less employee PRSI, income tax, Universal Social Charge (USC) and pension contributions.

Most other income is also assessable. However, although the rental income from 2nd and subsequent properties is assessable, the capital value is not assessable. Other income disregarded is unearned income such as interest from savings, Child Benefit, Guardian's Payments, Foster Child Allowances, Domiciliary Care Allowances, Supplementary Welfare Allowances, 2/3 of Carer's Allowance/Benefit (in the year 2012), income from providing accommodation to students under Gaeltacht Scheme, money from a charity (other than income from employment by a charity).

Weekly family income is based on net assessable earnings combined with any other assessable income that the family may have.

8.2 Calculation of benefit amount

8.2.1 Calculation of gross benefit

- a) FIS

FIS is paid at 60 per cent of the difference between the weekly family income and a weekly income limit for the family size. The income limit varies with family size. A minimum supplement of €20 is payable.

Family size	Weekly net earnings limit (in EUR)
1 Child	506
2 Children	602
3 Children	703
4 Children	824
5 Children	950
6 Children	1066
7 Children	1202
8 Children	1298

- b) CCDP

Recipient will continue to be paid for their children for 13 weeks if they get work for at least 4 weeks.

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

8.3 *Tax treatment of benefit and interaction with other benefits*

Family Income Supplement is non-taxable.

8.4 *Benefit duration*

FIS: 52 weeks (renewable). Once the level of FIS is determined it continues to be payable at that level for a period of 52 weeks provided that the person remains in employment. The rate of payment can only be changed following the birth of an additional child to the family.

8.5 *Treatment of particular group*

8.5.1 *Young persons*

Available to all age groups

8.5.2 *Older workers*

Available to all age groups

8.5.3 *Others if applicable*

Available to all age groups

9. Lone Parent Benefits

The One-Parent Family Payment (OFP).

9.1 *Conditions for receipt*

To qualify for the OFP, a person must:

- be a ‘qualified parent’, that is, a widow, a widower, a surviving civil partner, a separated spouse, a separated civil partner, an unmarried person, or a person whose spouse or civil partner has been committed in custody to a prison or place of detention for not less than six months, who is the parent, step-parent, adoptive parent, or legal guardian of at least one relevant child who is residing with that person;
- have the main care and charge of at least one relevant child who is residing with that person;
- not be co-habiting;
- not have gross earnings from insurable employment or self-employment exceeding €425 per week;
- satisfy a means test, and
- be habitually resident in the State.

9.2 *Calculation of benefit amount*

9.2.1 *Calculation of gross benefit*

The OFP is made up of a personal rate for the parent and of extra amounts for dependent children. The payment rate in 2012 is €188.00 per week – with a further €29.80 for each additional qualified child (i.e. the increase for a qualified child – or IQC).

In EUR, per week, age 65 or under

Assessable Means	Benefit Rate
Up to 7.60	188.00
7.60 to 10.10	185.50
Each 2.50 increase	2.50 decrease
Dependent child increase	29.80

9.2.2 *Income and earnings disregards*

Commencing on 1 January 2012, the OFP scheme will see a reduction, over five years, of the earnings disregard from €146.50 per week in 2011 to €130 per week in 2012 (the current disregard), to €110 per week in 2013, to €90 per week in 2014, to €75 per week in 2015, and to €60 per week in 2016, for new and existing recipients. In each instance, half of all earnings above the disregard will be assessed as means – with a reduced rate of OFP payable.

9.3 *Tax treatment of benefit and interaction with other benefits*

The OFP is taxable but not liable to superannuation contributions, social insurance (PRSI) contributions, health contributions, trade union subscriptions and additional voluntary contributions (AVCs) made in respect of personal retirement savings accounts (PRSAs).

OFP recipients may be entitled to the following additional benefits:

- Child Benefit;
- half-rate Maternity Benefit;
- half-rate Adoptive Benefit;
- half-rate Health and Safety Benefit;
- half-rate Injury Benefit;
- Disablement Benefit, and
- Blind Pension (i.e. if not claiming any of the half-rate payments above).

A person who is claiming the OFP and who is providing full-time care to another person may apply for the Carer's Allowance and retain his/her OFP payment in full. If he/she satisfies the conditions for the Carer's Allowance, the allowance is paid at half of the personal rate. He/she will also be eligible for Household Benefits and a Free Travel Pass.

OFP recipients are also entitled to the following supports:

- Rent Supplement;
- Mortgage Interest Supplement;
- Fuel Allowance;
- Back-to-School Clothing and Footwear Allowance (BTSCFA);
- Family Income Supplement (FIS);
- Exceptional Needs Payments;
- a reduced PRSI rate;
- Medical Card;
- Widowed or Surviving Civil Partner Parent Grant;
- After Death Benefits, and
- Bereavement Grant

9.4 *Benefit duration*

The OFP is payable for as long as a person continues to satisfy the qualifying conditions of the scheme (please refer to Section 9.1.) and is not disqualified for any reason (i.e. marriage, civil partnership or co-habitation, failure to meet the conditions of the Habitual Residence Condition (HRC), absence from the State, imprisonment, or failure to make a claim within the prescribed time).

Once the youngest child reaches the relevant age (as outlined in 12.1 below) both the personal rate for the parent and the IQC cease simultaneously. The recipient is advised in advance that the payment will cease and informed of other payments that they may qualify for.

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

In the case of a prisoner's spouse or civil partner, payment of the OFP continues for 4 weeks following the release of the prisoner from imprisonment.

Where a qualified child dies, payment of the OFP continues for 6 weeks at the rate of payment at the date of death. A bereavement Grant may also be paid in this instance.

9.5 *Treatment of particular group*

9.5.1 *Young persons*

None

9.5.2 *Older workers*

Persons aged 66 years and over are not entitled to the OFP payment and are entitled to apply for the State Pension (Non-Contributory) instead.

9.5.3 *Others if applicable*

Please refer to section 12.1

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

10. Tax system

Tax is levied on the combined income of both spouses. Either spouse may, however, opt for separate assessment, in which case the tax payable by both spouses must be the same as would be payable under joint taxation. A further option allows either spouse to opt for assessment as single persons in which case they are treated as separate units. The calculations presented in this Report are based on family taxation.

10.1 Income tax

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

10.1.1.2 Standard tax credits

- Basic reliefs: The single person's credit is € 1650 per year.
- Standard marital status reliefs: The married person's credit is €3330 per year (i.e. twice the basic credit of €1650).
- Employee credit: With the exception of certain company directors and their spouses and the spouses of partners in partnership cases, all employees, including (subject to certain conditions) children who are full-time employees in the business of their parents, are entitled to an employee credit of € 1650.
- Single-Parent Family Relief: The single parent family credit is EUR 1 650.
- Home Carers Allowance: This is a tax credit of EUR 810 for families where one spouse works at home to care for children, the aged or incapacitated persons, where the carer spouse's income does not exceed EUR 5 079. A reduced measure of relief is granted for income between EUR 5 080 and EUR 6 620: if the income exceeds EUR 5 080 the tax credit is reduced by one half of the income of the Home Carer that exceeds this limit. This credit and the increased standard rate tax band for two income couples (see tax schedule below) are mutually exclusive but the person may opt for whichever is the more beneficial. If the Home Carer earns income of up to EUR 5 080 in his/her own right for the tax year, the full tax credit may be claimed. For the purposes of this tax credit, income means any taxable income such as income from a part-time job, dividends, etc. but does not include the Carer's Allowance payable by the Department of Social and Family Affairs. The calculations within this Report take into consideration the New Carers Allowance.

10.1.2 Income tax schedule

Band of taxable Income (EUR)				Rate (%)
Single/ Widow(er)	Married Couple (One Income)	Married Couple (Two Incomes)	One-Parent Families	
Up to 32800	Up to 41800	Up to the lesser of: 65600; 41800 plus the amount of the lowest income	36800	20
Balance	Balance	Balance	Balance	41

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Low income exemption and marginal relief tax

Where total income is less than or equal to the income exemption limit that income is exempt from tax.

Exemption limits:

Single/Widowed	EUR
Under 65	5 210
65 and over	17 000
Married	
Under 65	10 420
65 and over	34 000
Children	
One or two children (each)	575
Subsequent children	830

The marginal relief rate of tax applies where liability to tax at the marginal relief rate is less than that which would be chargeable under the normal tax schedule and where total income is less than twice the relevant exemption limit, otherwise tax is charged under the normal tax schedule.

Marginal relief tax is charged, where applicable, at a rate of 40% on the difference between total income and the relevant exemption limit.

10.1.2. *Income levy*

Universal Social Charge (USC)

The Universal Social Charge (USC) replaces the Income and Health Levies and applies at a low rate on a broad base.

The USC is charged on an individualised basis on gross income at 2 per cent on income up to and including €10,036, at 4 per cent for income in excess of €10,036 but not greater than €16,016 and at 7 per cent above that level. Those aged over 70 year do not pay this higher rate and there is a lower exemption threshold €4,004.

The USC does not apply to social welfare payments, including contributory and non-contributory social welfare State pensions.

Individuals in possession of full medical card, incl a Health Amendment Act card, will only pay USC at a max rate of 4% irrespective of the level of their income. However, when an individual has self-employment income in excess of €100,000 for a tax year, the max rate is 7% on the amount of the excess. Non-medical card holders are subject to a maximum rate of 10% on such income.

USC rates for individuals aged 70 years and over, and individuals who hold FULL medical cards:

The 4% rate applies to all income over 10,036. There is a surcharge of 3% on individuals who have income from self employment that exceeds €100,000 in a year, regardless of age. Where such individuals are aged over 70 years or hold a full medical card, a rate of 7% applies.

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

10.1.3 *State and local income taxes*

No State or local income taxes exist in Ireland.

10.2 *Treatment of family income*

Tax is levied on the combined income of both spouses. Either spouse may, however, opt for separate assessment, in which case the tax payable by both spouses must be the same as would be payable under joint taxation. A further option allows either spouse to opt for assessment as single persons in which case they are treated as separate units. The calculations presented in this Report are based on family taxation

10.3 *Social security contribution schedule*

Contributions are payable as a percentage of an employee's gross earnings less allowable superannuation contributions. No distinction is made by marital status or sex. The first EUR 352 of weekly earnings are exempt from social insurance. The following is the rate of contribution applicable in the period July 2012 to July 2013:

Description	Rate	Threshold (EUR)
Pension and social insurance	4.00	In excess of €352

Employers' contributions are payable as a percentage of gross employee earnings, less half of the allowable superannuation contributions up to December 2011, from January 2012 there is no relief on employer PRSI for employee superannuation contributions. The following is a breakdown of the rate of contribution applicable in the period July 2011 to July 2012

Description	Rate %	Ceiling (EUR)
Training Levy	0.70	
Pension and social insurance	9.85	
TOTAL	10.75	No ceiling

The employers' contribution is reduced from 10.75 per cent to 8.5 per cent in respect of employees earning less than EUR 356 per week.

10.4 *Treatment of particular group*

10.4.1 *Young persons*

For persons under 16 years no social security contributions are paid.

10.4.2 *Older workers*

For persons over 66 years no social security contributions are paid.

10.4.3 *Others if applicable*

None

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

11. Part-time work

11.1 *Benefit rules for part-time work*

Part-time workers are entitled to UI (jobseeker's) benefits under the same scheme as full-time workers, ie provided they are available for full-time work. They have to fulfil the same qualifying conditions. Part-time workers can receive Unemployment Insurance/Assistance (Jobseeker's Benefit/Assistance) for days not worked. Part-time workers are covered by Social Insurance where earnings are in excess of EUR 38.

11.2 *Special tax and social security contribution rules for part-time work*

There are no special rules relating to part-time work.

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

12. Policy developments

12.1 Policy changes introduced: 2nd July 2012 – 1st July 2013

Budget 2012 contained two specific measures in relation to the JA/JB schemes. These measures are amending JB from a 6 day week to a 5 day week and introducing Sunday working for the purposes of both JA and JB.

a. Jobseeker's Benefit 6 to 5 measure

The measure announced in Budget 2012 to change the Jobseeker's Benefit payment week from a 6 to a 5 day basis was implemented with effect from 26 July 2012.

b. Sunday working

The measure announced in Budget 2012 was that Sunday working will be taken into account when calculating the amount of JB or JA to be paid.

The central effect of the change will be to **increase equity** across the jobseeker schemes and make them more relevant to the modern labour market. This measure will commence from early 2013.

FIS (8)

- In assessing weekly family income for the purposes FIS most weekly social welfare payments are taken into account when means are assessed. The 2012 Budget measure relating to the inclusion of carer's benefit or carer's allowance payments in the income assessment for FIS is designed to bring the treatment of carer's allowance and carer's benefit into line with how other primary social welfare payments are assessed.
- The measure also provides for a more consistent approach to the concurrent payment of FIS with other social welfare payments. Furthermore, the measure reduces a person's secondary payment (FIS) without affecting their primary payment, therefore targeting available scarce resources at those in most need.
- From January 2012, for new applicants and upon renewal for existing claimants, income from carer's allowance and carer's benefit payments will be included in the (FIS) income assessment. The measure will be implemented on a phased basis over 3 years with 1/3 of the income from carer's allowance and carer's benefit payments assessed in 2012, 2/3 in 2013 and full assessment in 2014.

One Parent Family Payment

(i) Qualifying age changes

Until 2011, the One-Parent Family Payment (OFP) provided long-term income support, until children were aged 18, or 22 if in full-time education, to lone parents, without any requirement for them to engage in employment, education or training.

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Legislative changes were introduced to the OFP scheme in the Social Welfare (Miscellaneous Provisions) Act, 2010. These came into effect on 27 April, 2011, and reduced the maximum age limit of the youngest child for receipt of the OFP to age 14.

Reform of the OFP has continued with additional changes coming into effect in the Social Welfare and Pensions Bill enacted on 1 May, 2012, whereby the age of the youngest child at which the payment ceases is being reduced over time. From 3 May, 2012, the age of the youngest child is being reduced on a phased basis and will be 7 years of age from 2014 for new entrants and 2015 for existing recipients. The reduction in the maximum age limit of the youngest child for receipt of the OFP is being applied to new and existing customers on a phased basis and will not affect existing customers until 2013.

For existing customers, the changes are as follows:

For pre-27 April, 2011, customers – The current tapering arrangement will remain in place until 2015 (i.e. age 18 in 2012, age 17 in 2013 and age 16 in 2014), after which the age limit will reduce to age 7. A saver, up to the end of the 2012-2013 academic year, was provided for recipients with a child aged between the ages of 18 and 22 who is in full-time education, when the change in qualification was introduced on 27 April, 2011 – and this will continue to apply.

For customers in receipt of the OFP from 27 April, 2011, to 3 May, 2012 – The current age limit of age 14 will remain in place in 2012 – and there will therefore be no change. The age limit will then reduce to age 12 in 2013, to age 10 in 2014 and to age 7 in 2015.

From 3 May, 2012, new customers are subject to the new maximum age limit (of the youngest child) criteria – i.e. the OFP will not be payable where the youngest child is age 12 or over in 2012, age 10 or over in 2013 and age 7 or over in 2014.

Summary:

	2011	2012	2013	2014	2015
Pre-27 April, 2011, customer	Under 18	U-18	U-17	U-16	U-7
27 April, 2011, to 2 May, 2012, customer	U-14	U-14	U-12	U-10	U-7
Post- 3 May, 2012, customer		U-12	U-10	U-7	

(ii) Special provisions

When the maximum age limit of the youngest child for receipt of the OFP was changed to age 14 on 27 April, 2011, special provisions were put in place for lone parents who are **(a)** in receipt of the Domiciliary Care Allowance (DCA) or **(b)** recently bereaved.

These special provisions will continue, as follows:

- with regards to DCA recipients, the OFP is to remain in payment while the DCA is payable for the child, currently up to the age of 16, at which point they can claim for a Disability Allowance (DA) payment in their own right, and

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

- for those who are recently bereaved, the OFP will be payable for two years from the date of death of the spouse/civil partner/co-habitant, or until the youngest child reaches the age of 18.

To encourage participation in education and employment, existing OFP recipients who leave the OFP scheme during the phasing-out period up to 31 December, 2014, to participate in the Back-to-Education Allowance (BTEA) scheme, or whose weekly earnings exceed the qualifying earnings limit for the scheme, are allowed to re-apply for the OFP payment based on the age conditions within the saver period (i.e. the age conditions that applied when they were first eligible for the OFP payment).

(iii) Reduction in the earnings disregard

Please refer to Section 9.2.2.

(iv) Abolition of the transitional payment

Until 31 December 2011, recipients of the OFP for 52 weeks, whose income exceeded the scheme's €425 weekly earnings disregard limit, were entitled to a transitional payment that was paid at half of the rate of their OFP payment for a period of 26 weeks, after which the payment would cease completely. From 1 January 2012, the transitional payment will no longer be issued to new and existing OFP recipients. Their entitlement to the OFP payment will automatically end if their earnings exceed the €425 weekly earnings disregard limit.

(v) Concurrent half-rate payments

From 1 February 2012, and 2 February 2012, respectively, the entitlement to half-rate Illness Benefit (IB) and Incapacity Supplement, and Jobseeker's Benefit (JB), for persons in receipt of the OFP will be discontinued for new recipients.

(vi) Community Employment (CE)

With regard to the changes that were made to the CE scheme, the following reforms are of relevance for those in receipt of the OFP and on CE:

- From 16 January 2012, a number of social welfare payments, including the OFP, are no longer payable concurrently with CE. This applies to new applications and will not affect existing recipients.
- Also, from 20 January 2012, for new and existing claimants, the payment of two QCIs of €29.80 per week per child will no longer apply to recipients who are on a CE scheme and in receipt of certain social welfare payments, including the OFP. The QCI for CE will cease and one QCI will continue to be payable with the relevant social welfare payment.

(vii) Other policy changes

The following changes will also impact on OFP recipients:

- From 1 January 2012, the minimum contribution payable by all tenants under the Rent Supplement scheme increased from €24 per week to €30 per week. This measure will affect all of the approximately 97,000 tenants who are on the scheme – 15,900 of whom are in receipt of the OFP

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

- From September 2012, the payment period of the Fuel Allowance will be reduced from 32 weeks to 26 weeks from the months of September until May of each year. This measure will affect all of the approximately 425,000 recipients of the allowance – 68,000 of whom are in receipt of the OFP.
- The Back-to-School Clothing and Footwear Allowance (BTSCFA) will be reduced from €200 to €150 for children aged 4 to 11 years, and from €305 to €250 for children aged 12 to 22 years, for the 2012 scheme.
- From 1 January, 2012, for new and existing recipients, income from employment as a home help funded by the Health Service Executive (HSE), will be assessed in means tests for social assistance schemes, including the OFP.
- The reduction of the Child Benefit rate for third and subsequent children, and the discontinuation of the Child Benefit grants on multiple births, will also impact on OFP recipients where relevant.

12.2. Future policy changes announced since 1st July 2013

It is intended that the income base on which PRSI should be charged will be broadened to include rental, investment and other forms of income from 2013.

It is expected that legislation enabling Sunday working changes will be passed in early 2013 with the administrative application starting in Q2 2013.

FIS

The phased introduction of the assessment of carer's allowance and carer's benefit payments over 3 years will see 1/3 of the income from carer's allowance and carer's benefit payments assessed in 2012, 2/3 in 2013 and full assessment in 2014.

Housing Benefits (5)

From December 2012, the condition that the house should not for sale was removed for Mortgage Interest Supplement.

PRSI

With effect from 2 July 2011, as part of the Government's Jobs Initiative, Employer's PRSI for those earning less than €356 a week or equivalent has been halved from 8.5% to 4.25% (including the National Training Fund Levy). This measure will be in place until end-2013.

The relief of 50% of employer PRSI for employee contributions to occupational pension schemes and other pension arrangements was removed from 1 January 2012.

The minimum number of paid PRSI contributions required to be eligible to become a voluntary contributor increased from 260 paid contributions to 520 paid contributions. This requirement will be phased-in over the period from April 2013 to April 2015.

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Jobseeker's Benefit, Jobseekers Allowance and FIS interactions – Further guidance and examples.

Jobseeker's Benefit

Recipient Type	Rate
Personal Rate	€188.00
Increase for qualified adult (QA)	€124.80
Increase for qualified child (QC)	€29.80
Increase for qualified child (QC) half-rate	€14.90

JB is graduated depending on earnings in relevant tax year

Average weekly earnings	Personal rate	Increase for QA
> €150.00	€84.50	€80.90
€150.00 - < €220.00	€121.40	€80.90
€220.00 - < €300.00	€147.30	€80.90
€300+	€188.00	€124.80

If you qualify for a QA you automatically qualify for a QC.

If an individual qualifies as a qualified adult (QA) their children automatically qualify as qualified children (QC). If a person does not qualify for an increase for a QA they may qualify for a half-rate QC if their partner has income of €400 or less per week.

The following table applies for full rate JB:

QA gross weekly income or earnings	Increase for QA	QA gross weekly income or earnings	Increase for QA	QA gross weekly income or earnings	Increase for QA	QA gross weekly income or earnings	Increase for QA
Upto €100	124.80	150.01-160	91.70	210.01-220	56.90	270.01-280	22.10
100.01-110	119.80	160.01-170	85.90	220.01-230	51.00	280.01-290	16.30
110.01-120	114.80	170.01-180	80.10	230.01-240	45.30	290.01-300	10.50
120.01-130	109.10	180.01-190	74.20	240.01-250	39.50	300.01-310	4.70
130.01-140	103.20	190.01-200	68.50	250.01-260	33.70	> 310.00	Nil
140.01-150	97.50	200.01-210	62.60	260.01-270	27.90		

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

The following table applies for JB reduced rate only:

QA gross weekly income or earnings	Increase for QA	QA gross weekly income or earnings	Increase for QA	QA gross weekly income or earnings	Increase for QA	QA gross weekly income or earnings	Increase for QA
Upto €100	80.90	150.01-160	58.80	210.01-220	36.80	270.01-280	14.60
100.01-110	77.30	160.01-170	55.10	220.01-230	33.00	280.01-290	10.90
110.01-120	73.50	170.01-180	51.40	230.01-240	29.40	290.01-300	7.30
120.01-130	69.90	180.01-190	47.80	240.01-250	25.70	300.01-310	3.60
130.01-140	66.20	190.01-200	44.00	250.01-260	22.00	> 310.00	Nil
140.01-150	62.50	200.01-210	40.40	260.01-270	18.30		

Working days (that is the 4 in 7 rule) only apply to the JA/JB claimant and not to the partner. Therefore, Partner A can be on JA whilst partner B can work 4 or more days and either be on FIS or be the QA on Partner A's claim. Also, partner B can be on JA in their own right also.

Jobseeker's Allowance

Recipient Type	Rate
Max Personal Rate aged 26 or over	€188.00
Increase for qualified adult (QA)	€124.80
Increase for qualified child (QC)	€29.80
Increase for qualified child (QC) half-rate	€14.90

Recipient Type	Rate
Max Personal Rate aged 25	€144.00
Increase for qualified adult (QA)	€124.80

Recipient Type	Rate
Max personal rate aged 18 - 24	€100.00
Increase for qualified adult (QA)	€100.80

If you qualify for a QA you automatically qualify for a QC.

If you do not qualify for a QA you may qualify for a half-rate QC depending on the circumstances of your partner, ie if they are in receipt of a SW/HSE/FAS payment.

Working time condition of three days: Does the maximum of 3 working days for receipt of JA also apply to the spouse of the claimant? So, if partner A is applying for JA while working 3 days or less and partner B works full-time, can A still receive JA (given that they pass the means test)?

Yes. The daily cut-off point of three days applies only to the primary recipient (partner A). A disregard is applied to the spouse's earnings (partner B earnings) in assessing the means of the primary recipient (partner A).

There is a €20 disregard per day, for a maximum of three days, for the person who works in respect of JA means, the rest of the income is assessed at 60% of the earnings (excluding pension and social insurance contributions). The earnings of the spouse have a €20 per day disregard for three days and the net income is assessed at 60% even if the partner works more than three days.

EXAMPLE 1: The Primary recipient works three days a week and earns €60 a day. The adult dependent works full time and has reckonable earnings after deductions of €300 per week.

- The primary recipient's means are calculated as follows: $€60 \times 3 = €180 - €60 = €120 \times 60\% = €72$ earned means, daily means $= €72/3 = €24$
- The adult dependent means are calculated as follows: $€300 - €60 = €240 \times 60\% = €144$ spousal means.
- Total means $= €144 + €72 = €216$

Calculation for JA = $€188 + €124.80 = €312.80 - €216 = €96.80$ JA payment.

Calculation of means from work: Are the rules for calculation of means from work different depending on whether the applicant has children or not?

No. In the case above if there is an increase for a qualified child (the increase is €29.80 per child) then the following would be the case:

Calculation for JA = $€188 + €124.80 + €29.80 = €342.60 - €216 = €126.60$ JA payment

When a person applies for FIS, the income limits vary with the number of children in the family.

In case of a family with partners A and B rearing children, where partner B qualifies for FIS:

Coexistence of JB (or JA) with FIS:

Is it possible that the family receives FIS and JA simultaneously, for example FIS for B and the children, and JA for partner A?

YES – If Partner A is on JA, Partner B can apply for FIS and the means assessed for the family will take account of the JA payment to Partner A and any other income, for example, the allowance for qualified children on Partner A's JA claim. It should be noted that the JA applicant cannot apply for a qualified adult payment when their partner is in receipt of FIS. The JA applicant can only get a half-rate of payment for the qualified child. Also the rate of means is halved when calculating the JA payment.

EXAMPLE 2

Joe has a full-time job and earns two-thirds the average industrial earnings, €466 per week he has two children and applies for FIS. For the purpose of FIS reckonable earnings are €427.85 per week (€466-€38.15[tax and social insurance deduction]). His partner Mary applies for JA. In this case the JA applicant cannot apply for a qualified adult payment when their partner is in receipt of FIS. The JA applicant can only get a half-rate of payment for each qualified child. His partner Mary applies for JA. The calculations are as follows.

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Mary's JA = €188 + 14.9 x 2 = 217.8 – Means €116³ = JA payment **€101.80**

FIS threshold for two children is €602 – reckonable earnings (427.85 + 101.80) = (72.35) x 60% = FIS Total €43.41

Total payment is 101.80 + 43.41 = €145.21 per week + 427.85 = Total Income €573.06

If the family only claimed FIS the total income would be €532

If the family only claimed JA the total income would be €568

JA and FIS at €466 or 67% of Average Earnings

No of .Chd	¹ Ern	² Full JA	³ JA Means	⁴ JA less Means	⁵ FIS	⁶ rec erns	⁷ FIS payable	⁸ Total	⁹ Tot FIS only	¹⁰ Tot JA only
1 Child	466	203	116	87	506	515	0	515	475	538
2 Children	466	218	116	102	602	530	43	573	532	568
3 Children	466	233	116	117	703	545	95	640	593	598
4 Children	466	248	116	132	824	559	159	718	666	628

All total figures include SW payment and net income

Legend

¹Erns= the gross wages per week of individual prior to contributions deductions.

²Full JA includes the personal rate and half rate qualified child payment (14.90) per child

³JA Means = when a partner has a FIS entitlement the means are based on assessment of all income into the home and the value halved. (see appendix 2 for full calculation)

⁴JA less Means = Full JA minus JA means

⁵FIS threshold rate (depends on no of children)

⁶Reckonable earnings = gross pay minus tax, employee PRSI, pension contributions

⁷FIS payable = FIS threshold minus Reckonable earnings

⁸Total = the full value of social assistance payable including both FIS and JA payable added

⁹Tot FIS only = the amount of FIS the household would receive if the second person did not apply for JA

¹⁰Tot JA only = the amount of JA the household would receive if the second person did not apply for FIS

In the current system, it is more beneficial for Partner A to be on JA and for Partner B to be a Qualified Adult (QA) on Partner A's JA claim. Once a QA is payable so too are Qualified Child allowances (QCs) payable to Partner A in respect of the children. This is the case up to three children. A qualified adult claiming FIS while the partner claims JA (full personal rate but half rate IQC) generally derives the larger payment than if they claimed either JA or FIS on its own.

Is it possible that the family receives FIS and JB simultaneously, for example FIS for Band the children, and JB for partner A?

YES – as above.

FIS rates applied are as follows:

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Net average weekly family income (averaged over a few weeks) must be below a certain amount depending on the family size as follows:

Child Nos	FIS Threshold
1 child	€506
2 children	€602
3 children	€703
4 children	€824
5 children	€950
6 children	€1,066
7 children	€1,202
8+ children	€1,289

FIS payable is equal to 60% of the difference between the net average weekly family income and the income limits above applying to the family size. Net family income is gross earnings less tax, employee PRSI, universal social charge USC, pension contribution and any other income the family has. The latter income would include social welfare payments such as JA/JB of partner.

How is the means test implemented in such a case?

Means assessed for FIS:

- Assessable earnings = gross pay minus tax, employee prsi, pension contributions
- Spouses assessable earnings
- Additional income from person or their spouse from overtime, bonuses etc
- Income from self-employment (note only one person can be in self-employment for FIS)
- Rental income
- Other income including Social Welfare payments such as JA/JB except Child benefit, carers allowance, Guardians payments, Supplementary Welfare Allowance, rent allowance, domiciliary care allowance, interest on savings, income from a charity

Means assessed for JA:

- Cash income from person or their spouse
- Savings, investments
- Property
- Maintenance paid to person if separated

Capital assessed	Means assessed as
First €20,000	Nil
€20,000 - €30,000	€1 per €1,000
€30,000 - €40,000	€2 per €1,000
€40,000+	€4 per €1,000

If your partner works and their income is low a QA may still be payable. The earnings of the spouse have a €20 per day disregard for three days and the net income is assessed at 60% even if the partner works more than three days.

JA and in work:

A person can work on 3 days in the week (the 4 in 7 day rule) and still receive a smaller amount of JA.

Assessable earnings are gross earnings less employee PRSI, pension contribution and union dues.

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

A disregard of €20 per day is applied to max of 3 days (€60) and 60% of remainder is assessed as means (example, work 3 days and assessable earnings are €200 a week, means is therefore €84 ($200 - 60 = 140$; $140 @ 60\% = €84$)). The JA rate of €188 is reduced by €84 to give €104.

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

COMPARISON OF JA, FIS AND JA+FIS

Family With One Child

FIS

ONLY

1 Child

	Ern	Tax	USC	PRSI	FIS	FIS	Total
NMW	337	0	11	0	506	107	434
67% Av. Ern	466	0	20	19	506	47	475
Av. Ern	696	28	36	28	506	0	604
150% Av. Ern.	1,043	148	60	42	506	0	793

JA ONLY

1 Child

	Ern	Tax	USC	PRSI	JA	Means	JA less Means	Total
NMW	337	0	11	0	343	166	177	503
67% Av. Ern	466	0	20	19	343	232	111	538
Av. Ern	696	28	36	28	343	365	0	604
150% Av. Ern.	1,043	148	60	42	343	565	0	793

JA and

FIS

1 Child

	Ern	Tax	USC	PRSI	JA*	Means	JA less Means	FIS	rec erns	FIS	Total
NMW	337	0	11	0	203	83	120	506	447	36	482
67% Av. Ern	466	0	20	19	203	116	87	506	515	0	515
Av. Ern	696	28	36	28	203	182	21	506	597	0	625
150% Av. Ern.	1,043	148	60	42	203	282	0	506	752	0	793

Notes

Earning Levels: NMW: National Minimum Wage: €337

67% of Average Weekly Earnings: €466

Average Weekly Earnings: €696; 150% of Average Weekly Earnings: €1,043

Erns= the gross wages per week of individual prior to contributions deductions.

Tax= deduction for taxation

USC=Universal Social Charge deduction

PRSI= Pay related Social Insurance contribution

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Full JA includes the personal rate of jobseeker payment and half rate qualified child payment (14.90) per child

JA Means = when a partner has a FIS entitlement the means are based on assessment of all income into the home and the value halved. (see appendix 2 for full calculation)

JA less Means = Full JA minus JA means

FIS threshold rate (depends on no of children)

Reckonable earnings = gross pay minus tax, employee PRSI, pension contributions

FIS payable = FIS threshold minus Reckonable earnings

Total = the full value of social assistance payable including both FIS and JA payable added

Family With Two Children

FIS ONLY

2 Children

	Ern	Tax	USC	PRSI	FIS	FIS	Total
NMW	337	0	11	0	602	165	492
67% Av. Ern	466	0	20	19	602	104	532
Av. Ern	696	28	36	28	602	0	604
150% Av. Ern.	1,043	148	60	42	602	0	793

JA ONLY

2 Children

	Ern	Tax	USC	PRSI	JA	Means	JA less Means	Total
NMW	337	0	11	0	372	166	206	533
67% Av. Ern	466	0	20	19	372	232	140	568
Av. Ern	696	28	36	28	372	365	7	611
150% Av. Ern.	1,043	148	60	42	372	565	0	793

JA and FIS

2 Children

	Ern	Tax	USC	PRSI	JA*	Means	JA less Means	FIS	rec erns	FIS	Total
NMW	337	0	11	0	218	83	135	602	462	84	546
67% Av. Ern	466	0	20	19	218	116	102	602	530	43	573
Av. Ern	696	28	36	28	218	182	36	602	612	0	640
150% Av. Ern.	1,043	148	60	42	218	282	0	602	752	0	793

Notes

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Earning Levels: NMW: National Minimum Wage: €337

67% of Average Weekly Earnings: €466

Average Weekly Earnings: €696; 150% of Average Weekly Earnings: €1,043

Erns= the gross wages per week of individual prior to contributions deductions.

Tax= deduction for taxation

USC=Universal Social Charge deduction

PRSI= Pay related Social Insurance contribution

Full JA includes the personal rate of jobseeker payment and half rate qualified child payment (14.90) per child

JA Means = when a partner has a FIS entitlement the means are based on assessment of all income into the home and the value halved. (see appendix 2 for full calculation)

JA less Means = Full JA minus JA means

FIS threshold rate (depends on no of children)

Reckonable earnings = gross pay minus tax, employee PRSI, pension contributions

FIS payable = FIS threshold minus Reckonable earnings

Total = the full value of social assistance payable including both FIS and JA payable added

Family With Three Children

FIS ONLY

3 Children

	Ern	Tax	USC	PRSI	FIS	FIS	Total
NMW	337	0	11	0	703	226	553
67% Av. Ern	466	0	20	19	703	165	593
Av. Ern	696	28	36	28	703	0	604
150% Av. Ern.	1,043	148	60	42	703	0	793

JA ONLY

3 Children

	Ern	Tax	USC	PRSI	JA	Means	JA less Means	Total
NMW	337	0	11	0	402	166	236	563
67% Av. Ern	466	0	20	19	402	232	170	598
Av. Ern	696	28	36	28	402	365	37	641
150% Av. Ern.	1,043	148	60	42	402	565	0	793

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

JA and FIS

3 Children

	Ern	Tax	USC	PRSI	JA*	Means	JA less Means	FIS	rec erns	FIS	Total
NMW	337	0	11	0	233	83	150	703	477	136	612
67% Av. Ern	466	0	20	19	233	116	117	703	545	95	640
Av. Ern	696	28	36	28	233	182	51	703	654	29	684
150% Av. Ern.	1,043	148	60	42	233	282	0	703	793	0	793

Notes

Earning Levels: NMW: National Minimum Wage: €337

67% of Average Weekly Earnings: €466

Average Weekly Earnings: €696; 150% of Average Weekly Earnings: €1,043

Erns= the gross wages per week of individual prior to contributions deductions.

Tax= deduction for taxation

USC=Universal Social Charge deduction

PRSI= Pay related Social Insurance contribution

Full JA includes the personal rate of jobseeker payment and half rate qualified child payment (14.90) per child

JA Means = when a partner has a FIS entitlement the means are based on assessment of all income into the home and the value halved. (see appendix 2 for full calculation)

JA less Means = Full JA minus JA means

FIS threshold rate (depends on no of children)

Reckonable earnings = gross pay minus tax, employee PRSI, pension contributions

FIS payable = FIS threshold minus Reckonable earnings

Total = the full value of social assistance payable including both FIS and JA payable added

Family With Four Children

FIS ONLY

4 Children

	Ern	Tax	USC	PRSI	FIS	FIS	Total
NMW	337	0	11	0	824	298	625
67% Av. Ern	466	0	20	19	824	238	666
Av. Ern	696	28	36	28	824	132	736
150% Av. Ern.	1,043	148	60	42	824	20	813

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

JA ONLY

4 Children

	Ern	Tax	USC	PRSI	JA	Means	JA less Means	Total
NMW	337	0	11	0	432	166	266	593
67% Av. Ern	466	0	20	19	432	232	200	628
Av. Ern	696	28	36	28	432	365		604
150% Av. Ern.	1,043	148	60	42	432	565	0	793

JA and FIS

4 Children

	Ern	Tax	USC	PRSI	JA*	Means	JA less Means	FIS	rec erns	FIS	Total
NMW	337	0	11	0	248	83	165	824	491	200	691
67% Av. Ern	466	0	20	19	248	116	132	824	559	159	718
Av. Ern	696	28	36	28	248	182	66	824	669	93	762
150% Av. Ern.	1,043	148	60	42	248	282	0	824	793	20	813

Notes

Earning Levels: NMW: National Minimum Wage: €337

67% of Average Weekly Earnings: €466

Average Weekly Earnings: €696; 150% of Average Weekly Earnings: €1,043

Erns= the gross wages per week of individual prior to contributions deductions.

Tax= deduction for taxation

USC=Universal Social Charge deduction

PRSI= Pay related Social Insurance contribution

Full JA includes the personal rate of jobseeker payment and half rate qualified child payment (14.90) per child

JA Means = when a partner has a FIS entitlement the means are based on assessment of all income into the home and the value halved. (see appendix 2 for full calculation)

JA less Means = Full JA minus JA means

FIS threshold rate (depends on no of children)

Reckonable earnings = gross pay minus tax, employee PRSI, pension contributions

FIS payable = FIS threshold minus Reckonable earnings

Total = the full value of social assistance payable including both FIS and JA payable added

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Calculation of split rate Jobseeker Allowance (JA) means when claiming FIS.

There is a €20 disregard per day, for a maximum of three days, for the person who works in respect of JA means, the rest of the income is assessed at 60% of the earnings (excluding pension and social insurance contributions). The earnings of the spouse/partner have a €20 per day disregard for three days and the net income is assessed at 60% even if the partner works more than three days. When a partner has a FIS entitlement the means are based on assessment of all income into the home and the value halved.

	Erns	less PRSI	Less €20 per day (3)	60% disregard	Split Means/2
Means	€377.00	€0.00	€60.00	€190.20	€95.10
Means	€466.00	€18.64	€60.00	€232.42	€116.21
Means	€696.00	€27.82	€60.00	€364.91	€182.45
Means	€1,043.00	€41.73	€60.00	€564.76	€282.38